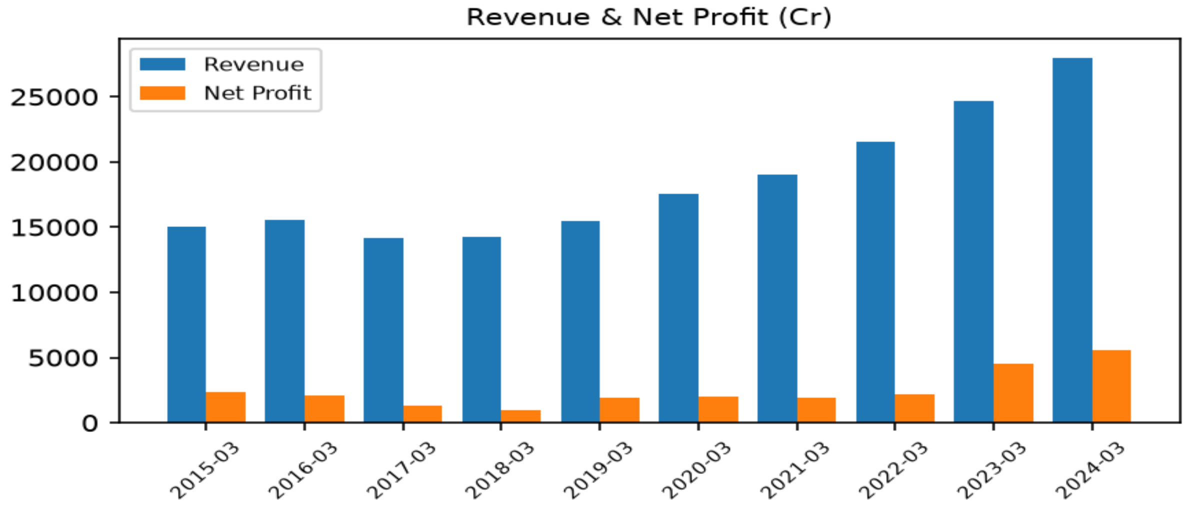
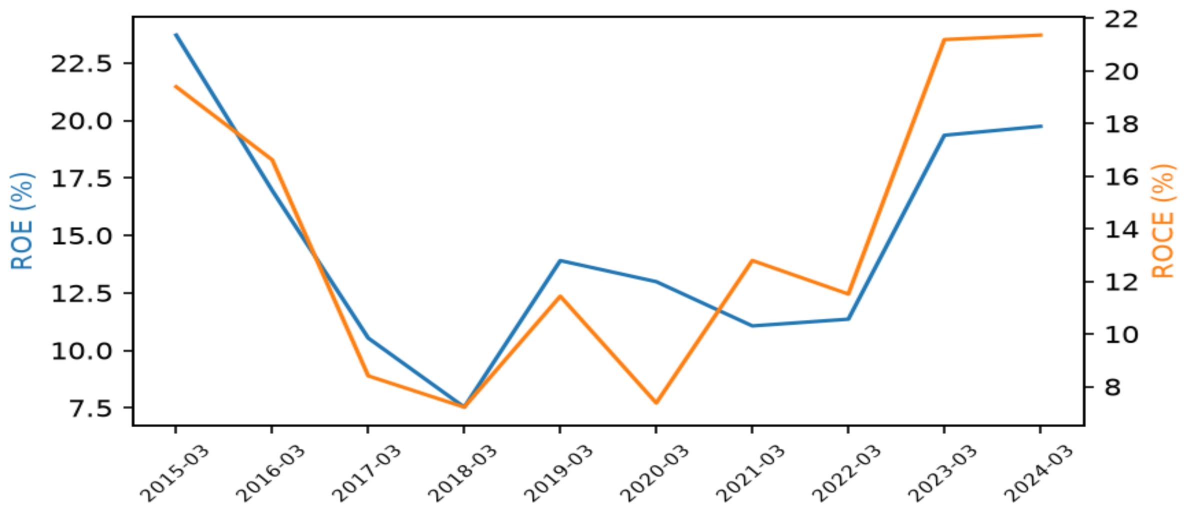
Dr Reddys Laboratories Ltd (DRREDDY)

ROE 19.7%	**ROCE** 21.4%	**Net Profit Margin** 19.9%
D/E 0.1	**Revenue CAGR 5yr** 12.6%	**Free Cash Flow (Cr)** 509.0

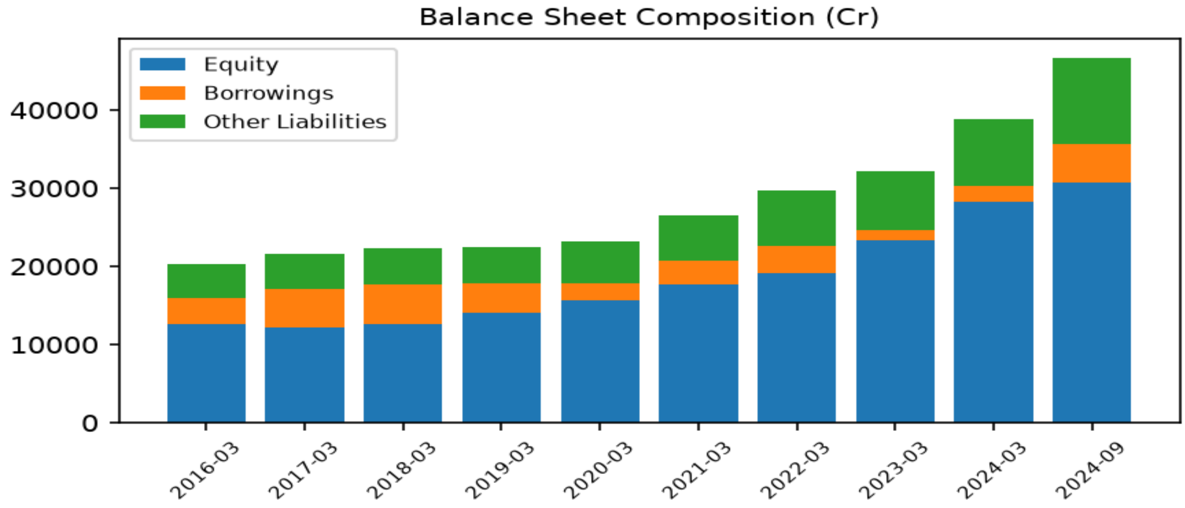
Revenue & Net Profit (10yr)



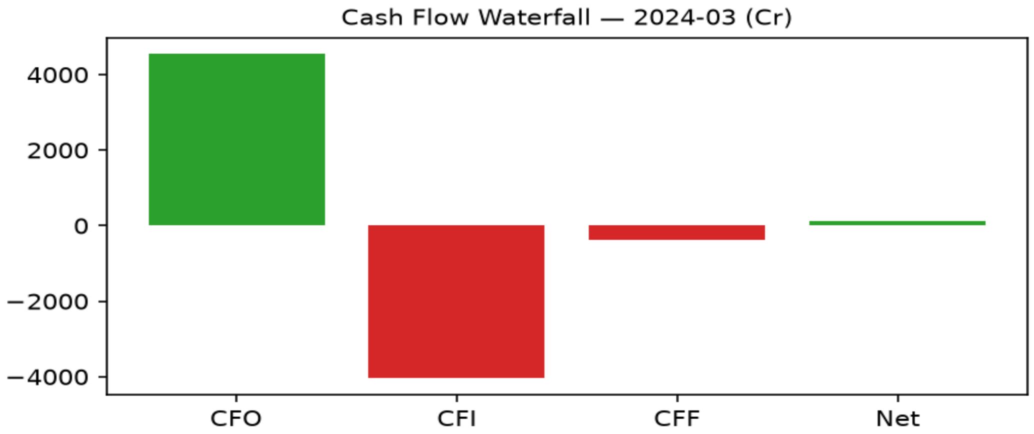
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
✓ Return on equity improving for 3 consecutive years shows strengthening business quality
✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ Debt-to-equity of 0.07 is a general leverage level worth monitoring alongside sector peers.

Capital Allocation: Reinvestor